

fund families in the mid-2000s. Figure 16.1, Panel B shows that Janus's AUM settled around \$150 billion in 2003. Since fees are levied directly on AUM, Janus remained profitable.

Mutual fund companies throw off lots of cash, much of which they spend on employee remuneration, and that can be cut when performance is poor. Clients, meanwhile, stick around even when things go badly. "It's pretty hard to mess up a mutual fund company," said an executive at a mutual fund research firm.⁶ "You can't kill these companies," said another expert at an investment advisory and management firm.⁷

2. 40-Act

The Investment Company Act of 1940 has allowed the delegated asset management industry to flourish, protects the little guy, and empowers the SEC to police the market.⁸ I use the term "40-Act" to refer to the 1940 Act itself, subsequent amendments (1970) and rules issued by the SEC under the act.

The SEC provides the following summary of the 40-Act:⁹

This Act regulates the organization of companies, including mutual funds, that engage primarily in investing, reinvesting, and trading in securities, and whose own securities are offered to the investing public. The regulation is designed to *minimize conflicts of interest* that arise in these complex operations.

The italics are mine. The 40-Act is designed to mitigate principal-agent problems that arise in delegated investing, which we discussed in chapter 15. Companies covered under the 40-Act are called *registered investment companies*, and they can solicit money directly from the general public (through *public offerings*). For this privilege, registered investment companies must adhere to minimum standards to "minimize conflicts of interest." The SEC explains the 40-Act's role in accomplishing this:

⁶Quoted by Nocera, J., "Janus Funds: Everybody Loves a Loser," *New York Times*, May 28, 2005.

⁷Quoted by Effinger, A., and S. V. Bhaktavatsalam, "Healey Rules \$400 Billion Empire with Stakes in 28 Funds," *Bloomberg Markets*, Jul 9, 2012.

⁸The backbone of U.S. financial market regulation consists of the 40-Act, the Securities Act of 1933, and the Securities Exchange Act of 1934. The latter created the SEC. All this regulation was created as a response to the stock market crash of 1929 and the Great Depression. The entire apparatus was conceived as part of President Franklin Roosevelt's New Deal and designed to make markets safe for the ordinary investor.

⁹From <http://www.sec.gov/about/laws.shtml#invcoact1940>